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CNGR Advanced Material Co., Ltd. | Asia Pacific

2Q26 Beat; Benefits from battery materials volume growth and nickel ore resources

Reaction to earnings

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 1H26 NP Rmb1.25-1.35bn, +71-84% YoY. 2Q26 is implied at Rmb695-795mn vs. Rmb555mn in 1Q26, higher than our expectation, despite potential drag from FX loss.
- 1H26 recurring NP Rmb1.2-1.3bn, +84-99% YoY. 2Q26 is implied at Rmb682-782mn vs. Rmb518mn in 1Q26.
- CNGR attributed the robust 1H26 to higher battery material sales volume (precursor +50% YoY with margin stable; FePO₄ volume +25% and margin turning positive).
- This was aided by higher investment income from nickel ore projects and sustainably high profitability of nickel smelting projects via raw materials advantages.

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Asia Summer School 2026

CNGR Advanced Material Co., Ltd. (2579.HK, 2579 HK)

Greater China Materials | China

Stock Rating	Overweight
Industry View	Attractive
Price target	HK\$36.00
Up/downside to price target (%)	53
Shr price, close (Jul 13, 2026)	HK\$23.46
52-Week Range	HK\$46.44-23.16
Sh out, dil, curr (mn)	104
Mkt cap, curr (mn)	Rmb37,195.8
EV, curr (mn)	Rmb57,826.6
Avg daily trading value (mn)	HK\$69

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.58	2.24	2.66	2.92
Revenue, net (Rmb mn)	48,140.0	60,486.6	63,931.5	61,273.0
EBITDA (Rmb mn)	5,239.0	6,469.6	6,869.1	7,449.9
ModelWare net inc (Rmb mn)	1,567.3	2,334.4	2,769.3	3,041.4
P/E	18.7	9.1	7.6	6.9
P/BV	2.4	0.8	0.8	0.7
RNOA (%)	6.5	6.9	6.9	7.2
ROE (%)	7.8	9.7	10.7	11.0
EV/EBITDA	12.8	9.2	8.7	7.7
Div yld (%)	-	-	-	-
FCF yld ratio (%)**	(8.6)	0.1	7.0	20.1
Leverage (EOP) (%)	28.2	30.8	28.0	16.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

CNGR Advanced Material Co., Ltd. (2579.HK)

Based on our A-share price target using a 60% A/H premium and 0.87 HKD/CNY exchange rate.

Risks to Upside

- Strong downstream demand for battery materials stemming from faster adoption of energy storage systems and robots
- Faster volume growth driven by ramp-up of overseas production bases

Risks to Downside

- Potential demand slowdown stemming from technology and government policy changes
- Increasing competition, which may lead to margin compression
- Commodity price volatility, which might affect the company's profitability

CNGR Advanced Material Co., Ltd. (300919.SZ)

Our price target is derived using a discounted cash flow model, which discounts earnings forecasts through 2035e, using a WACC of 10.4% with a cost of equity of 11.6%. We apply a risk-free rate of 3.8%, risk premium of 6% and a beta of 1.3. Our terminal growth rate is 3%.

Risks to Upside

- Strong downstream battery material demand as a result of faster adoption of energy storage systems and robots
- Faster volume growth driven by ramp-up of overseas production bases

Risks to Downside

- Potential demand slowdown stemming from technology and government policy changes
- Increasing competition, which may lead to margin compression
- Commodity price volatility, which might affect the company's profitability

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

CNGR Advanced Material Co., Ltd. (2579.HK) - As of 07/14/26 GMT in HKD
Industry : Greater China Materials



Stock Rating History: 1/12/26 : O/A

Price Target History: 1/12/26 : 45; 7/9/26 : 36

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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CNGR Advanced Material Co., Ltd. (300919.SZ) - As of 07/14/26 GMT in CNY
Industry : Greater China Materials



Stock Rating History: 1/12/26 : E/A

Price Target History: 1/12/26 : 53.9; 7/9/26 : 50.4

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/13/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb19.89
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.31

Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb32.19
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.37
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb185.00
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb51.00
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb46.09
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb39.45
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$21.48
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$14.80
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.20
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.22
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$7.07
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.25
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb23.13
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb11.14
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.28
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb45.28
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb8.11
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$7.51
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.50
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb17.47
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb10.57
China Jushi (600176.SS)	O (12/22/2020)	Rmb50.13
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$3.65
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.40
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$14.86
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb16.86
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb37.40
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$23.46
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.00
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb51.13
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$40.60
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb71.80
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb20.25
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$30.22
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb40.00
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$16.85
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb26.55
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$7.14
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb23.96
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$17.84
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb3.93
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$33.08
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb45.61
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb7.51
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$18.13
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$97.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$29.54
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb27.36

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* Historical prices are not split adjusted.